

SCHOOL FUNDING FAQ

There is increasing discussion about the Fair School Funding Plan and property taxes, with media coverage growing daily. The decisions made in this budget cycle will have a lasting impact on Ohio's public schools. Now more than ever, it's crucial for school leaders to share the facts. Below is a statewide perspective—strengthen the message by adding your district's story.

Cash Balances

Question: Do the majority of school districts carry cash balances of 150-200% of their expenses?

Answer: The data show a different story.

The Data:

- Over **1/3 of school districts (35.5%)** have smaller cash balances in FY2024 than they did in FY2019.
- Only **48 school districts (7.8%)** have cash balances exceeding 100% of their expenses.
- Just **10 school districts (1.6%)** have cash balances of over 150%, including two island districts—Middle Bass and North Bass.

Key Points:

1. **Stability for Education:** Healthy cash balances ensure stability for educational programming, particularly during periods of fiscal uncertainty or economic downturns.
2. **Levy Cycles:** The cyclical nature of levy approvals necessitates the buildup of reserves to sustain operations between levy renewals.
3. **Prudent Financial Management:** These reserves reflect conservative budgeting practices and the need to prepare for uncertainties, such as revenue growth limitations imposed by HB 920's tax reduction factors.
4. **Stimulus Funds:** Temporary increases in cash balances were driven by one-time federal stimulus dollars, not ongoing revenue.

This shows that school districts manage their finances responsibly, maintaining cash balances to support educational stability while minimizing the need for frequent local taxpayer contributions.

School Spending

Question: Are school districts mismanaging expenses?

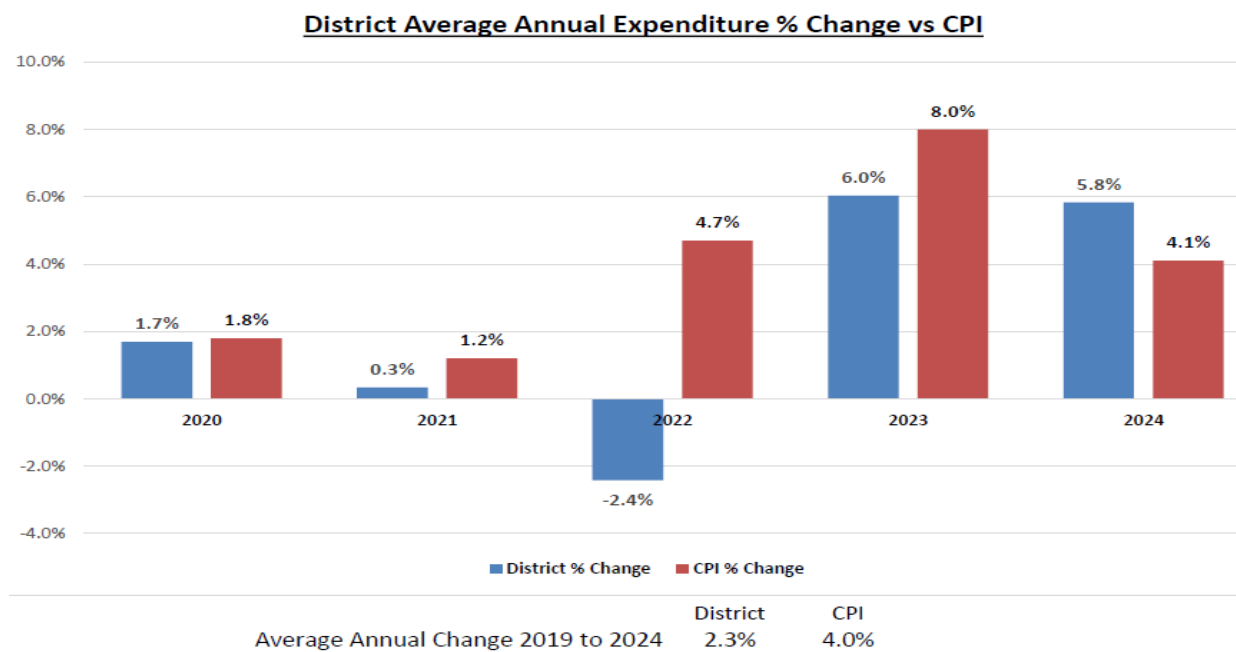
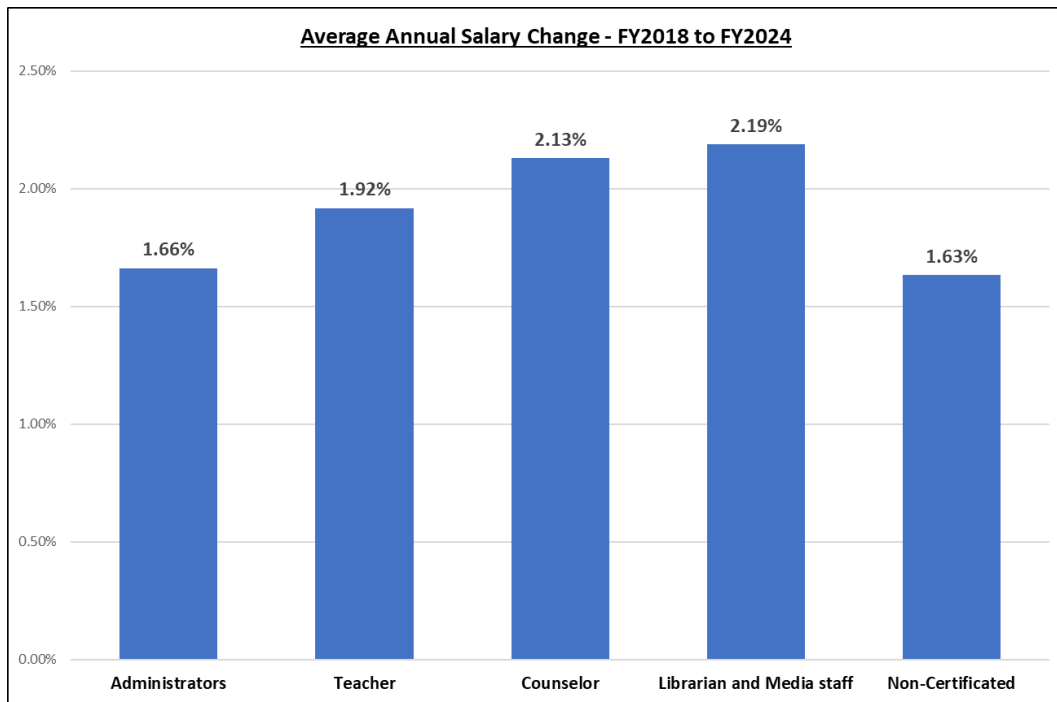
Answer: The data shows that school districts are managing resources responsibly. Salary increases have remained at or below inflation rates, and overall spending has not kept pace with annual inflation.

Rather than engaging in excessive spending, districts have carefully managed budgets to sustain essential programs despite rising costs in key areas such as:

- Building maintenance and utilities,

- Transportation,
- Educational materials and technology, and
- Special education services.

This demonstrates that districts are prioritizing fiscal responsibility while continuing to meet the needs of their students and communities.



Question: Has education spending exceeded inflation over the past 25 years?

Answer: Public school spending roughly doubled **from FY00-FY10**, coinciding with the years that state policymakers were making concerted efforts to increase K-12 education funding following the Ohio Supreme Court's *DeRolph* decision which ruled the funding system unconstitutional, according to an [Ohio Education Policy Institute Review and Summary](#).

Overall, total revenues and expenditures from FY2000 to FY2022, both in total and on a per pupil basis, have increased by **less than 1% annually beyond inflation**.

U.S. Census Data shows a 9.2% decline in Ohio's population of school aged children from FY00 – FY22.

However, Ohio Department of Education and Workforce (DEW) data showcases **a significant increase in both the number and percentage of higher cost pupils** including students with disabilities, economically disadvantaged pupils, and English learners — **resulting in higher expenditures per pupil**.

Over that same timeframe, Ohio fell from 35th to **45th among the 50 states** in U.S. Census Data ratings of the percentage of public school **operating revenue coming from state sources**.

Question: Has the number of administrators and administrative spending exceeded the rate of inflation?

Answer: While the average administrator's salary has gone up every year since FY14, **administrator salaries have increased slower than the rate of inflation**.

The average full-time equivalent (FTE) number of administrators per school district has been increasing almost every year since FY14.

The average administrator's salary has been increasing almost every year since FY16. However, it has **gone up 21.3% since FY15** while the **Consumer Price Index (CPI) has increased 30.8%** since then.

The pupil to administrator ratio (average number of pupils per administrator) has been decreasing almost every year since FY13. This is a combination of more administrators and fewer pupils.

The administrator expenditure per pupil has been increasing every year since FY06. This is a combination of more administrators, increased salaries and fewer pupils.

Property Taxes

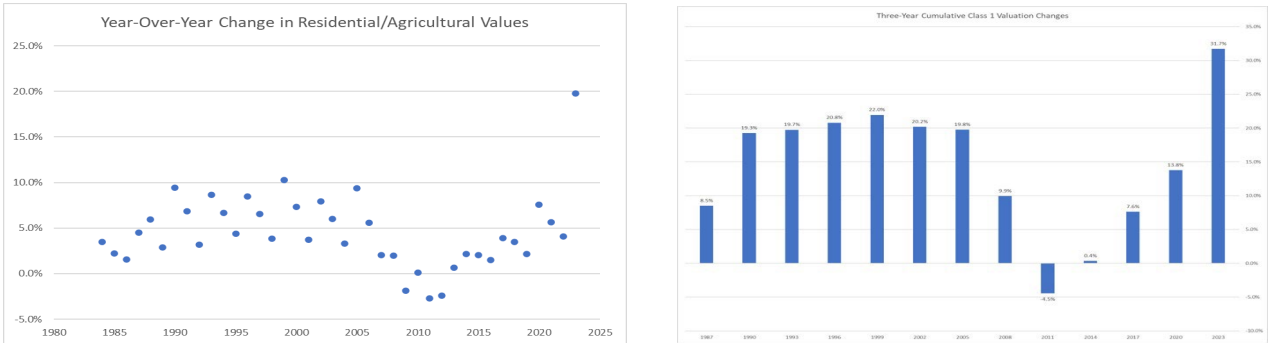
Question: With the increases in property values across the state, do we need major changes to our property tax system?

Answer: The historic increases in property valuations we are currently seeing are an anomaly.

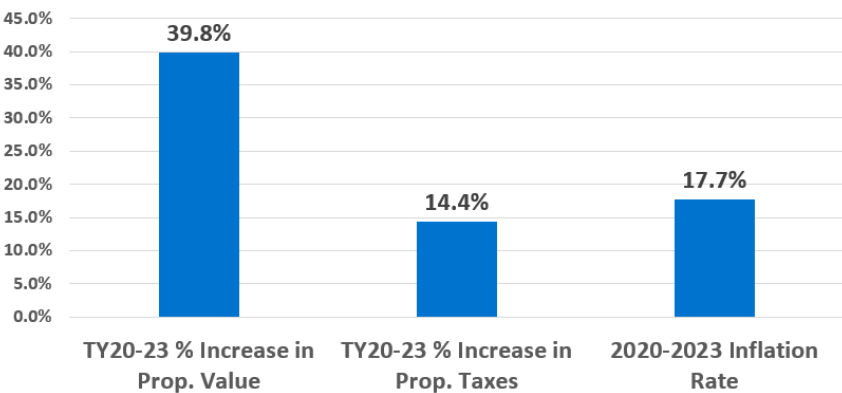
Any discussion on property taxes should begin by acknowledging that:

- **Property taxes** are high because valuations are high.
- **Valuations** are high because home prices are high.
- **Home prices** are high because of **financialization of housing** (i.e., private equity firms buying up all property), **supply issues** (i.e., underbuilding since the great recession), and the **erosion of the property tax base** (i.e., use of abatements, TIFs, CRAs, etc.).

The two charts below illustrate the incredible nature of the property valuation increases we are experiencing due to a combination of factors including but not limited to Ohio’s strong economy, the lack of housing, and the population growth in certain areas.



Understanding the Impact of Valuation Increases: Increases in valuation do not lead directly to increases in property taxes due to the tax reduction factors (HB920), as shown in the table below from the Ohio Education Policy Institute.



Addressing the Burden on Vulnerable Residents:

The education community recognizes the challenges these historic valuation increases create for some of our most vulnerable residents. School leaders across Ohio strongly support **targeted, means-tested property tax relief** that enables residents to stay in their homes while ensuring fiscal stability for schools.

Possible solutions include:

- 1. **A Circuit Breaker:** Provides across-the-board tax relief by offering property tax credits to individuals meeting specific income and home valuation thresholds.
- 2. **Expanding the Homestead Exemption:** Building on HB 274 (enacted December 2024), which created an enhanced property tax credit for long-term homeowners.

The [final report](#) of the Joint Property Tax Review and Reform Committee from the 135th General Assembly outlines a range of property tax recommendations. School leaders must understand and clarify these proposals to ensure accurate discussions with stakeholders and to advocate effectively for sustainable solutions.

Tax Burden

Question: Is the Fair School Funding Plan unsustainable, representing an extraordinary cost to taxpayers?

Answer: Ohio's constitution requires that funding for public education be a partnership between the state and local communities. **When the state does not fund its share of education, the cost is shifted to local communities to make up for this difference.** The FSFP represents a significant shift in Ohio's school funding approach, transitioning from residual budgeting to a needs-based model grounded in the actual costs of educating students.

In the most recent state budget, the inputs for capacity (property values and income) were updated annually, but the base cost inputs (expenses) were only updated in the first year of the biennium. This uneven approach has led to significant funding disparities.

- FY24: When all inputs—base cost and the local capacity—were updated, the funding split was 43% state / 57% local, getting closer to the 50-50 partnership.
- FY25: Only the capacity inputs were updated, while base cost inputs remained unchanged. This made districts appear wealthier, reducing their state funding. Consequently, the state's share of funding dropped to 39%, **leaving local communities to bear a larger burden with a 61% local share.**

This imbalance shifts a greater financial burden onto local taxpayers, as the state's contribution decreases without accounting for increases in the actual costs to educate students.

When capacity inputs (property valuations and income data) are updated, but not the cost inputs (expenses), this results in an inequitable funding model that puts the burden on local communities and diminishes the state's role in supporting education, increasing the number of districts on a guarantee.

Guarantees

Question: Is Ohio funding "phantom students" through guarantees?

Answer: School funding guarantees prevent districts from receiving less state money than previous years. Districts can end up on funding guarantees due to: declining enrollment; increased local wealth metrics (property values, income); static base cost inputs; or a combination of these factors.

When districts lose students but keep prior funding levels, their per-pupil amounts increase above formula calculations. **However, the bigger problem is misaligned updates in the funding formula:**

- **Capacity inputs** (property values and income) are regularly **updated**
- **Base costs** (teacher pay, operations) **remain the same** and do not reflect increases from inflation
- **Result:** Districts look wealthier on paper than reality because the formula updates the calculation of their wealth but not their expenses (the base cost inputs). This imbalance reduces the state share of funding to school districts, forcing local taxpayers to cover more costs.

The core issue isn't "phantom students" but rather that there have been updates to only certain components of the formula. This imbalance results in a decrease in state funding, which places more districts on a guarantee, shifting the burden to local taxpayers.

Vouchers

Question: Does Ohio's voucher program save the state money since the statewide average public school spending per pupil (\$14,584) is higher than the voucher amounts (\$6,167 for K-8 and \$8,407 for high school)?

Answer The voucher program has evolved beyond its original scope due to recent legislative changes that have expanded eligibility:

- In FY2022, the state eliminated the requirement for students receiving a voucher to have previously attended public school; and
- In FY2024, the state further broadened access by adjusting income requirements.

As a result of these changes:

- Voucher enrollment nearly doubled from 82,992 students in FY23 to 150,912 students in FY24.
- There are approximately 173,150 private school students in Ohio, which means that 87% of private school students are likely using a voucher.

Rather than creating new educational opportunities, the program is now primarily directing state funds to students who were already enrolled in private schools. This means the state is taking on new costs for students it was not previously funding.

Further, the \$14,584 per-pupil spending figure includes *all spending*, including funding for programs and services such as special education, gifted education, aid for disadvantaged students, and transportation. Educating students is complicated, and public school districts face many requirements that private schools do not, including the requirement to educate *all* students and the requirement to transport students (including private school students).